IPE 4111

Introduction to Management

COURSE TEACHER

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Learning Outcomes

- What is Management?
- Functions of Management
- Nature of Management
- Who are Managers?
- Roles of Manager
- Management Theories

Definition of Management

“Management is the art of “knowing what you want to do” and then seeing that it is done in the best and cheapest way.

……F.W.Taylor

Management as a process “consisting of planning, organizing, actuating and controlling, performed to determine and accomplish the objective by the use of people and resources.”

……George R. Terry

Different context of defining management

There are four such orientations have been adopted in defining the management process:

- Production-or efficiency-oriented,
- Decision-oriented,
- People-oriented, and
- Function-oriented.

Production- or Efficiency-oriented Definition:

"Management is the art of knowing what you want to do and then seeing that it is done in the best and cheapest way"

Decision-oriented Definitions:

"Management is simply the process of decision making and control over the action of human beings for the expressed purpose of attaining predetermined goals"

People oriented Definitions:

“Management is the accomplishment of results through the efforts of other people”

Function oriented Definitions:

"To manage is to forecast and to plan, to organize, to coordinate and to control"

What Is Management?

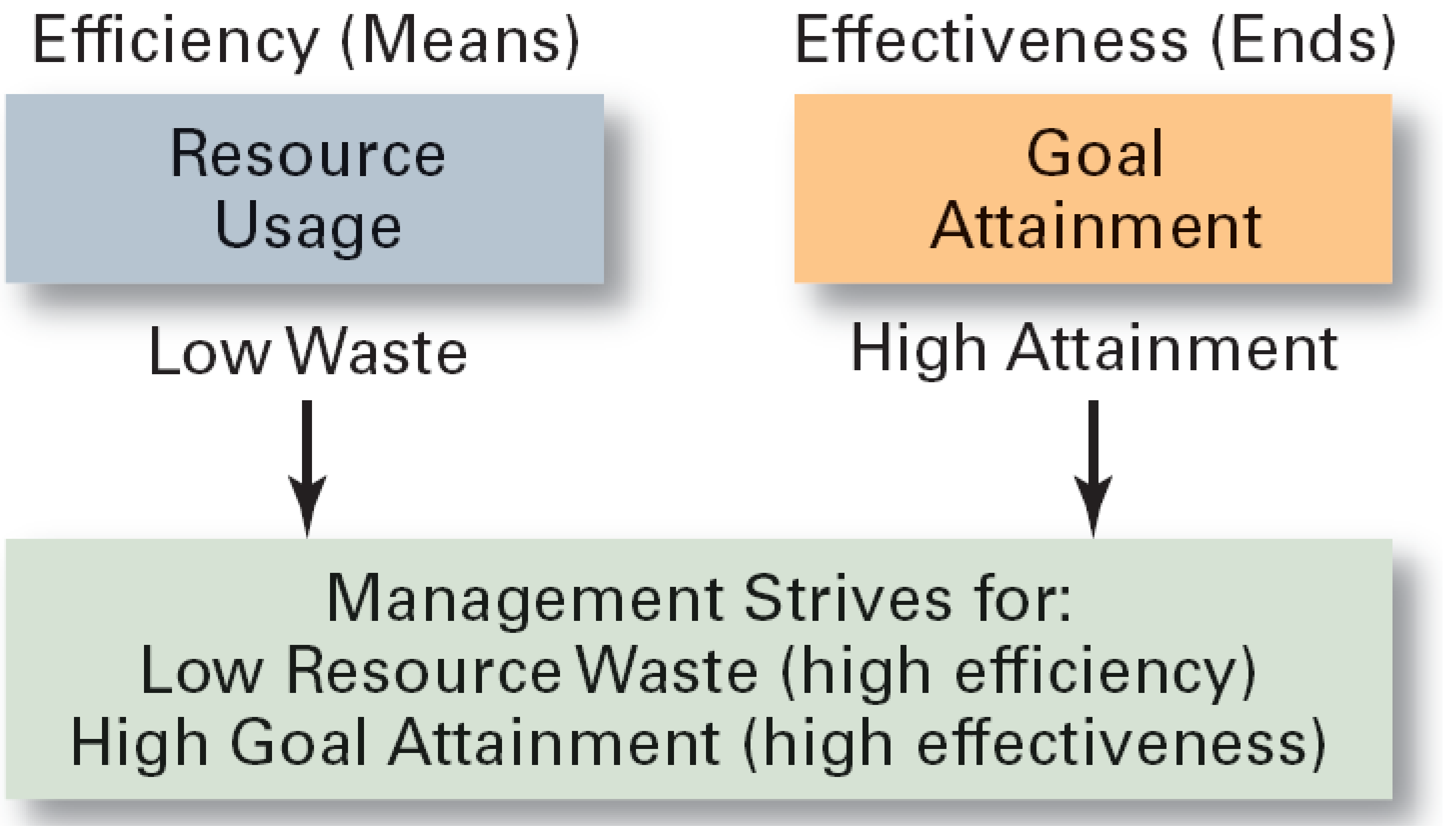
Management involves coordinating and overseeing the work activities of others so that their activities are completed efficiently and effectively.

What Is Management?

Managerial Concerns

- Efficiency
  - "Doing things right"
    - Getting the most output for the least inputs
- Effectiveness
  - "Doing the right things"
    - Attaining organizational goals

Effectiveness and Efficiency in Management



Functions of Management

Planning	Organizing	Leading	Controlling
Defining goals, establishing strategy, and developing plans to coordinate activities	Determining what needs to be done, how it will be done, and who is to do it	Motivating, leading, and any other actions involved in dealing with people	Monitoring activities to ensure that they are accomplished as planned

Lead to

Achieving the organization's stated purposes

1. Planning

It is a process of deciding the business objectives and charting out the plan/ method for achieving the same. This includes

- Determination of what is to be done, how, and where it is to be done, who will do it and how result are to be evaluated.
- Determination of long and short-range objectives.
- Development of strategies and courses of action to be followed
- Formulation of policies, procedures and rules for implementing strategies and plans.

2. Organizing

Organizing involves:

- Identification of activities required for the achievement of objectives and implementation of plans.
- Grouping of activities so as to create self-contained jobs
- Assignment of jobs to employees
- Delegation of authority so as to enable them to perform their jobs and to command the resources needed for their performance
- Establishment of a network of coordinating relationships.

3. Staffing

Manpower planning: determination of no. of and the kind of personnel required.

- Recruitments of suitable no. of employees
- Selection of most suitable employees
- Placement, induction and orientation
- Transfer, promotions & terminations
- Trainings and developments

4. Directing

Directing involves communication, leadership and motivation.

- Communication is the process of passing the information and understanding it from one person to other person.
- Leadership is the function whereby the person or manager guides and influences the work of his subordinates.
- Motivation is to motivate the employee to give their best to the organization.

5. Coordinating

Clear definition of authority-responsibility relationships

- Unity of direction
- Unity of command
- Effective communication
- Effective leadership

6. Controlling

The controlling involves-

1. Establishing standards of performance.

2. Measuring current performance and comparing it against the established standard.

3. Taking corrective action that does not meet the standard.

Control compels the events to confirm to plans.

LEVELS OF MANAGEMENT

- LOWER LEVEL (FIRST LINE): FOREMEN & WHITE COLLAR SUPERVISOR
- MIDDLE MANAGEMENT: SALES MANAGERS, PERSONNEL MANAGERS, OTHER DEPARTMENTAL HEADS
- TOP MANAGEMENT: COMPANY PRESIDENTS, EXECUTIVES, VICE PRESIDENTS

Managerial Skills

Managers need a number of skills if they are to succeed. The most fundamental management skills are technical, Human, Conceptual, Design and time management skill.

- **Technical skill:** Technical skills are the skills necessary to accomplish or understand the specific kind of work being done in an organization. Project engineers, physicians, and accountants all have the technical skills. They get this skill from education and experience. Technical skills are especially important for first line managers. (Mechanics work with tools, so their supervisor should have the ability to teach them ho

Managerial Skills

-**Human Skill:** For obvious reasons the manager needs interpersonal skills- the ability to communicate with, understand, and motivate individuals and groups. A manager must be able to work with subordinates, peers, and those at the top level also. They should also be able to work with suppliers, creditors, customers, investors and other outsiders.

Managerial Skills

- **Conceptual skills:** Conceptual skills depend on the manager's ability to think in the abstract. Managers need the mental capacity to understand the overall workings of organization and its environment, to grasp how all the parts of the organizations fit together, and to view the organization in holistic manner.

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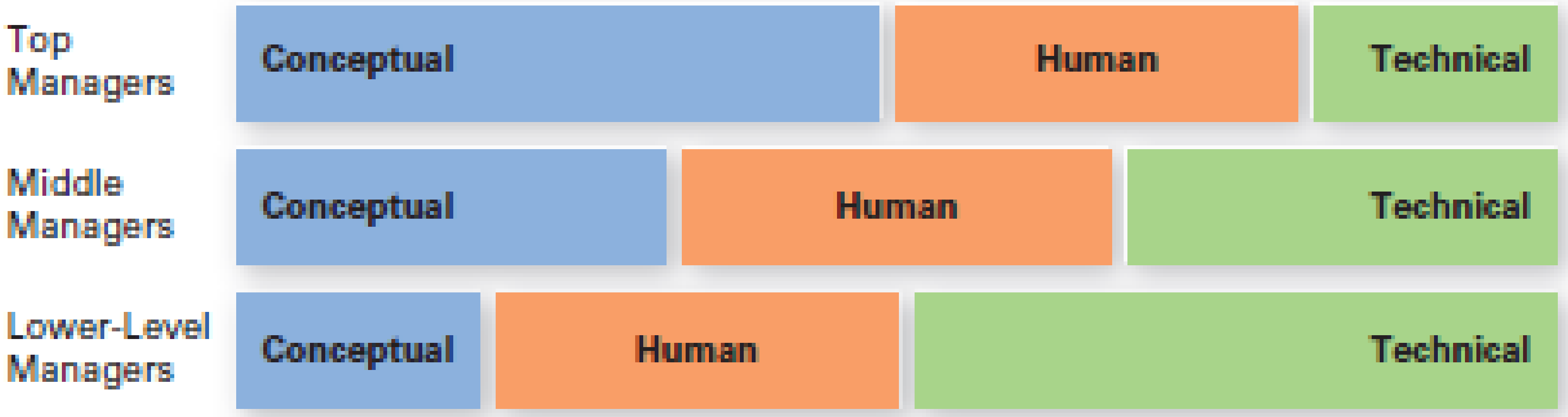
Managerial Skills



Mintzberg’s Managerial Roles

A role is a set of specific tasks a person performs because of the position they hold.

Roles are directed inside as well as outside the organization.

There are 3 broad role categories:

1. *Interpersonal*
2. *Informational*
3. *Decisional*

Roles of Manager

Interpersonal Roles

Roles managers assume to coordinate and interact with employees and provide direction to the organization.

- *Figurehead role*
- *Leader role*
- *Liaison role*

Informational Roles

Associated with the tasks needed to obtain and transmit information for management of the organization.

- *Monitor role*
- *Disseminator role*
- *Spokesperson role*

Decisional Roles

Associated with the methods managers use to plan strategy and utilize resources to achieve goals.

- *Entrepreneur role*
- *Disturbance handler role*
- *Resource allocator role*
- *Negotiator role*

Nature of Management

Management is goal-oriented:

It is a means to achieve certain goals. Management has no justification to exist without goals. Management goals are called group goals or organizational goals. The basic goal of management is to ensure efficiency and economy in the utilization of human, physical and financial resources. The success of management is measured by the extent to which the established goals one achieved

Nature of Management Contd..

Management is a Social Process:

Management is done by people , through people and for people. It is a social process because it is concerned with interpersonal relations

Management is a Continuous Process:

Management is an unending process as past decisions always carry their impact for the future course of action

Nature of Management Contd..

Universal in Nature:

Management is universal in nature i.e. it exists everywhere in universe wherever there is human activity. The basic principles of management can be applied anywhere whether they are business or non-business organizations.

Multidisciplinary:

Management is basically multidisciplinary. Though management has developed as a separate discipline it draws knowledge and concepts of various other streams like sociology, psychology, economics, statistics etc.

Nature of Management Contd..

Dynamic:

Management is dynamic in nature i.e. techniques to manage business changes over a period of time. System of authority: Authority is the power to get the work done by others and compel them to work systematically. Management can not perform in absence of authority. Authority and responsibility depend upon position of manager in the organization.

Management as an Art

-Mary parker, koontz & several others management authors called management ‘as an art of getting things done through people.

-Art refers to creative skills and talent which people required to conduct certain activities effectively.

Management is an art due to the following reasons:

I. Intelligence.
II. Initiative.
III. Innovation.
IV. Individual approach.
V. Application and dedication.
VI. Result oriented

Management as a Science

Science is a systematic body of knowledge that is universally accepted. Fredrick Taylor- the first person to consider management as a science, he was of the opinion that management should conduct their business affairs by following certain well-established standards.

Science can be broadly divided into two groups:

A. Physical science.

B. Social science.

Management is a social science because it deals with human beings.

Conclusion

-From the study above, we say that: management is both, art and science.

-According to ASME (American Society of Mechanical Engineers): "Management is the art and the science of preparing, organizing and directing human efforts to control the forces and utilize the material of nature for the benefit of men."

-Management has got two faces like a coin; on one side it is art and on the other side it is science.

-"Management is a mixture of an art and science – the present ratio is about 80% art and 20% science." – Dean Stanley.

Administration Verses Management

The difference can be summarized under two categories:

Functions and **Usage/Applicability**

Administration vs Management: On the basis of Functions

Basis	Management	Administration
Meaning	Management is an art of getting things done through others by directing their efforts towards achievement of predetermined goals	It is concerned with formulation of broad objectives, plans and policies
Nature	Management is an executing function	Administration is a decision-making function
Process	Management decide who should do it and how he should do it.	Administration decides what is to be done and when it is to be done.
Function	Management is a doing function because manager get work done under their supervision.	Administration is a thinking function because plans and policies are determined under it.
Skills	Technical and Human skills	Conceptual and Human skills
Level	Middle and Lower level function	Top level function

Administration vs Management: On the basis of Usage

Basis	Management	Administration
Applicability	It is applicable to business concerns i.e. profit-making organization	It is applicable to non-business concerns i.e. clubs, schools, hospitals etc.
Influence	The management decisions are influenced by the values, opinions, beliefs and decisions of the managers	The administration is influenced by public opinion, government policies, religious organizations, customs etc.
Status	Management constitutes the employees of the organization who are paid remuneration (in the form of salaries and wages)	Administration represents owners of the enterprise who earn return on their capital invested and profits in the form of dividend.

Ethics

-Ethics (also called moral philosophy), involves systematizing, defending, and recommending concepts of right and wrong behavior

-Ethics is concerned with what is right and what is wrong in human behavior judged on the basis of socially determined standards of behaviors

-Business ethics is the application of general ethical principles to business dilemmas

TYPES OF MANAGERIAL ETHICS

Immoral management
- Lacks ethical principles, concern for profit only

Amoral management
- Ignores, or oblivious to, ethical issues

Moral management
- Conscious attention to ethical standards and issues

WHAT INFLUENCES ETHICAL BEHAVIOR?

ETHICAL GUIDELINES FOR MANAGERS

- Obey the law.
- Tell the truth.
- Show respect for people.
- Stick to the Golden Rule.
- Above all, do no harm.
- Participation not paternalism.
- Responsibility requires action.

MECHANISMS FOR ETHICAL MANAGEMENT

- Increasing awareness of diversity
- Top management commitment
- Codes of ethics
- Ethics committees
- Ethics audits
- Ethics hotlines
- Ethics training

SCIENTIFIC MANAGEMENT THEORY

- Frederick W. Taylor, Henry L. Gantt, and Frank and Lillian Gilbreth devised the body of principles known as **scientific management theory.**
- Taylor based his management system on production-line time studies. Using time study as his base, he broke each job down into its components and designed the quickest and best methods of performing each component.

Continued…

He also encouraged employers to pay more productive workers at a higher rate than others, using a "scientifically correct" rate that would benefit both company and worker.

This system is called **Differential Rate System**

Gantt originated a charting system for production scheduling.

CONTRIBUTIONS OF SCIENTIFIC MANAGEMENT THEORY

- The modem assembly line pours out finished products faster than Taylor could ever have imagined. This production "miracle" is the gift of scientific management.
- In addition, its efficiency techniques have been applied to many tasks in non-industrial organizations, ranging from fast-food service to the training of surgeons.

LIMITATIONS OF SCIENTIFIC MANAGEMENT THEORY

- Taylor's system clearly meant that time was of the essence. His critics objected to the "speed up" conditions that placed undue pressures on employees to perform at faster and faster levels.
- The emphasis on productivity—and, by extension, profitability—led some managers to exploit both workers and customers. This condition created mistrust / suspicious relationship between labour and supervisor or management.

Principles of Management

Principles of management has been developed by Henri Fayol the father of modern management. According to Fayol definition of management all industrial activities fall in six groups:

1. Technical activities (production, manufacturing)
2. Commercial activities (buying, selling, exchange)
3. Financial (search for optimum use of capital)
4. Security (protection of property and personnel)
5. Accounting (balance sheet, costs statistics)
6. Managerial activities (planning, organizing, command, coordination and control)

CLASSICAL ORGANIZATION THEORY

- **Classical organization theory** concerned about the need to find guidelines for managing complex organizations such as factories.
- **Henri Fayol** is the founder of the classical management theory.
- Fayol believed that sound management practice falls into certain patterns that can be identified and analyzed.
- Fayol was interested in the *Total Organization* and focused on management, which he felt had been the most neglected of business operations.

Fayol's 14 Principles of Management

1. Division of Labor 2. *Authority*

3. Discipline 4.*Unity of Command*

5. Unity of Direction 6. *Remuneration*

7.Subordination of Individual Interest to the Common Good

8. Centralization 9. *The Hierarchy*

10.Order 11. *Equity*

12. *Stability of Staff* 13. *Initiative*

14. *Espirit de Corps*

Contribution of Classical Management Theory

- Before Fayol, it was generally believed that "managers are born, not made."
- Fayol however, said that management was a skill like any other--one that could be taught once its underlying principles were understood.
- It identified key management processes, functions and skills.
- It focused attention on management as a valid subject of scientific study.
- It lead foundation for latter developments in management theory.

Limitations of Classical Theory

This theory is more applicable for stable and simple organizations than today’s complex and dynamic organizations.

This theory treats employees as a elements rather than resources.

The procedure governed by this theory may not be applicable in certain situation.

Behaviourial Science Approach

- -This approach is an improved version of the human relations approach to management

-Douglas McGregor, Abraham Maslow, Kurt Lewin, Chester Barnard, Merry Follett etc. are some of the foremost behavioral scientists who made significant contributions to the development of the behavioral approach to the management

-This approach recognizes the practical and situational constraints on human rationality for making optimal decisions

Contd…

- -To behavioral scientists, the realistic model of human motivation is complex. It suggest that different people react differently to same situation or react same way to different situations.

- -The organization considered as a groups of individuals with certain goals.

- -It recognizes that conflict is inevitable and even sometimes desirable and should be faced with understanding and determination.

Contribution of Behavioral Management Theory

-It provides important insights into motivation, leadership, group dynamics and other interpersonal process in organizations.

-Theory challenged the view that employees are tools instead employees are valuable resources.

-Focused managerial attention on employee related process.

Contingency Approach

- -According to the contingency approach the manager's task is to Identify which technique will, ***in a particular situation, under particular circumstances, and at particular time***, best contribute to the attainment of management goals

- -Methods and techniques which are highly effective in one situation may not work in other situations. Results differs with situational difference

Contribution of Contingency Approach

-Contingency views are applicable in designing organizational structure, in deciding the degree of centralization and decentralization, in planning information decision system, in motivational and leadership approaches, in establishing communication and control systems, in resolving conflicts and managing change, in employee development and training programmes etc.

Limitation of Contingency Approach

- -It compromise between system approach and situational factors.
- -It is totally practical approach without support of theoretical and conceptual frame work.
- -Some time manager finds difficulties in analyzing the situation and discovering appropriate management technique in absence of proper research and understanding behavior of the situation.